

Atchíson

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Tactical Asset Allocation Outlook

Q3 2025

Illuminating
the way forward





Tactical Asset Allocation

Tactical asset allocation (TAA) is an investment style in which three primary asset classes (shares, bonds, and cash) are actively balanced and adjusted based on market performance to meet stated risk tolerance and investment objectives.

The focus is on asset classes rather than specific assets themselves. The strategy integrates and enhances passive buy-and-hold methods with medium term views on market dislocations and valuation opportunities.

This report should be read in conjunction with our most recent Investment Outlook, incorporating updated capital market assumptions (CMA) which projects the returns of asset classes over a ten-year horizon. These serve as key inputs into our strategic asset allocation (SAA) model and can also be termed as neutral asset allocation positions.

Refer to Table 1 for Summary TAA positions – Q3 2025. The recommendations shown in the summary are Atchison's conviction away from an SAA, therefore should not be interpreted as a recommended percentage change.

Introduction

The third quarter of 2025 begins with a market narrative shaped by recalibration over disruption. The macro environment has become incrementally more supportive as geopolitical uncertainty continues to simmer from trade realignments to conflict in the Middle East.

Inflation is gradually easing, a ceasefire in the Iran-Israel conflict has held, and global central banks, including the Federal Reserve and Reserve Bank of Australia (RBA) are now expected to deliver two to three rate cuts by year-end. This marks a significant shift in the monetary policy direction and suggests improving conditions for risk assets. This takes place within a broader regime change; one defined by a move away from global synchronisation and toward a world of strategic competition, fragmented supply chains, and more frequent macro crosscurrents.

In this setting, investment positioning must be both tactical and grounded in structural awareness – even as the macro environment turns more accommodative, stretched valuations, particularly in the US, call for greater discipline, as reflected in this Q3 rebalance.

What to watch out for?

- **Central bank policy shifts** – A slower-than-expected pace of rate cuts or renewed hawkishness could impact both equity valuations and bond yields.
- **Earnings breadth and quality** – Concentration in equity market performance, especially in US tech, increases vulnerability to earnings disappointments.
- **China's growth trajectory** – Ongoing weakness in China's property sector and consumer confidence could weigh on emerging markets and commodities.
- **Geopolitical instability** – Escalating global tensions or trade disruptions could fuel volatility and challenge risk asset performance.

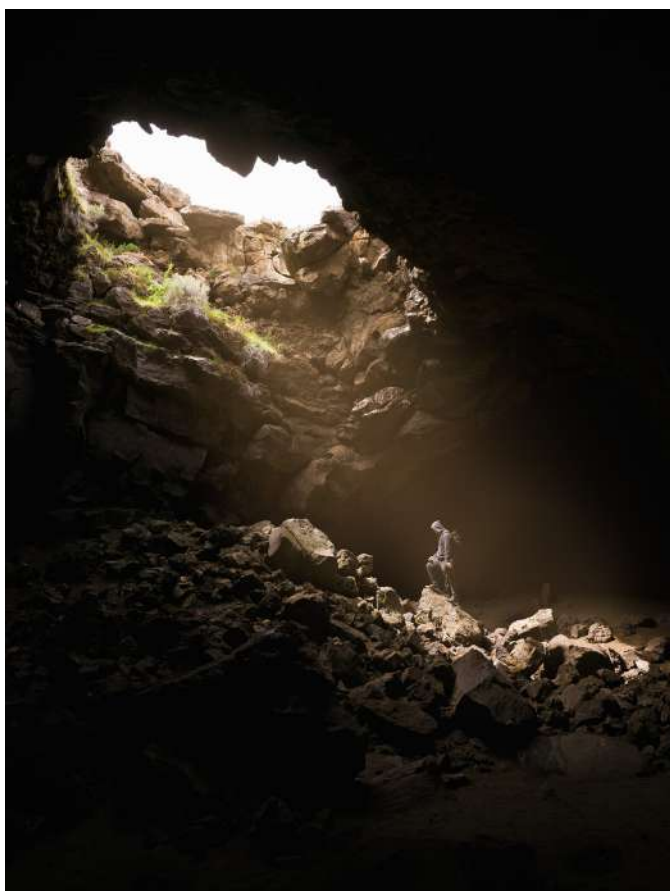
Summary of our Q3 2025 TAA:

1. Marginally increase exposure to **international equities ex Australia** – due to a subdued reaction following tariff updates, Iran-Israel ceasefire, anticipated rate cuts globally and in Australia.
 2. Maintain **Australian equities** exposure at neutral – encouraged by anticipated rate cuts, and a slight uptick in forward earnings expectations.
 3. Reduce exposure to **Japanese equities** – Atchison's in-house regime analysis highlights heightened inflationary environment with weakening growth.
 4. Modest increase in **European equities** – benefiting from European Central Bank (ECB) easing cycle, interest from foreign investors, along with diversification away from US tech dominance.
 5. Neutral position to **emerging markets (EM)** – due to escalation of trade wars and potential for earnings expectations to be downgraded.
 6. Maintain overweight exposure to **duration** - capitalising on anticipated rate cuts in most developed markets.
 7. Reduce **floating rate** exposure – favouring investment grade relative to high yield and bank hybrids.
 8. Increase **alternatives** – selective preference for private equity, and gold.
 9. Underweight **real assets** exposure – cautious on listed infrastructure amid moderating inflation.
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Australian Equities



We are maintaining a **neutral allocation** to Australian equities this quarter, given the balance between moderately improving macroeconomic fundamentals and valuation concerns. Early signs of a stabilising consumer and resilient labour market have underpinned corporate earnings expectations, despite GDP growth remaining steady.

Tailwinds from commodity exports are waning, and global investor appetite for Australia appears capped, amid persistent uncertainty around China's growth trajectory and its effect on local resources. Domestic inflation is trending lower, but remains sticky in services, limiting the Reserve Bank's capacity to shift meaningfully toward policy easing in the near term.

In this environment, we see no compelling reason to either overweight or underweight Australian equities, relative to our strategic benchmark.



International Equities

We retain a slight overweight to global equities, bolstered by US and Europe, and hindered by geopolitical risks, Japan, EM and China.

United States (US) equities

We maintain a **modest overweight** to US equities, supported by moderating inflation, solid labour market conditions, and improving productivity. Anticipated rate cuts by the Federal Reserve provide a supportive policy backdrop, and corporate earnings have shown relative strength. However, market performance remains concentrated in a few large-cap technology names, raising concerns about breadth and sustainability.

Forward valuations particularly in mega-cap growth stocks appear stretched, limiting scope for further multiple expansions. Our positioning reflects this balance: we favour high-quality growth companies with strong fundamentals and exposure to structural themes like AI infrastructure and enterprise software, while avoiding areas with excessive optimism. The tilt toward growth over value remains, but with greater selectivity and capital discipline.

While the macro environment is supportive, elevated valuations warrant a measured approach, and readiness to adjust if volatility increases.

European equities

We maintain a **modest overweight** to European equities, supported by improving economic momentum, easing inflation, and growing clarity around the ECB's policy trajectory. Recent macro data indicate stabilising manufacturing activity and a gradual rebound in consumer confidence, especially in Germany and the peripheral economies.

Headline inflation has moderated sufficiently to allow the ECB to begin easing policy. This combined with still-attractive relative valuations, provides a constructive backdrop for equity performance. Corporate earnings are showing early signs of recovery, with margin resilience in industrials and luxury goods, and upward revisions across segments of the financials and consumer discretionary sectors.

Japan equities

We are **underweight** in Japanese equities, as the outlook has deteriorated amid persistent inflation and slowing growth. While monetary policy remains accommodative, rising core inflation could prompt a shift in the Bank of Japan's stance, introducing further uncertainty.

Corporate governance reforms and yen-driven export strength appear largely priced in, while domestic demand remains weak and earnings momentum is fading. Valuations no longer offer a compelling risk-reward trade-off, leading us to reduce exposure.

Emerging market equities

We hold a **neutral stance** on EM equities, balancing long-term structural potential against ongoing macro headwinds.

While valuations remain relatively attractive, and fundamentals including favourable demographics and digital adoption are intact, near-term performance is being weighed down by a strong US dollar, subdued trade volumes, and uneven policy responses. Earnings' revisions have been soft, and market leadership remains fragmented.

Regionally, India continues to stand out with robust domestic demand and reform momentum; despite this, we continue to remain cautious. China remains a drag on the broader EM complex, as structural challenges in property, weak business confidence, and modest policy support constrain growth. Select opportunities exist in Latin America and emerging Europe, particularly in commodities and financials, but require a highly selective approach.

We see no strong catalyst to adjust positioning until global liquidity improves, and earnings momentum broadens.



Real Assets



We maintain an **underweight** to real assets, driven primarily by caution on listed infrastructure. While real assets have traditionally offered inflation protection and stable income, valuations remain elevated and rising funding costs and regulatory headwinds are weighing on investor sentiment.

Although commercial real estate is showing modest capital growth, we see better risk-adjusted opportunities elsewhere, particularly in sectors with greater liquidity.

Alternatives

We have **increased our allocation** to alternatives, with a focus on private equity and gold, to enhance portfolio diversification and complement our broader positioning. Private equity continues to offer attractive long-term return potential, particularly through secondary markets and high-quality mid-market managers, despite a more selective deal environment. We favour exposures with strong capital discipline, operational expertise, and limited reliance on leverage.

Gold provides an effective hedge amid ongoing geopolitical uncertainty, elevated sovereign debt levels, and the prospect of lower real rates over time. Its lack of correlation, and role as a store of value, reinforce its position as a strategic diversifier within our alternatives allocation.





Duration



We are maintaining a **modest overweight** to duration, supported by policy rates peaking in most developed markets, and the next phase involving a normalisation of monetary policy.

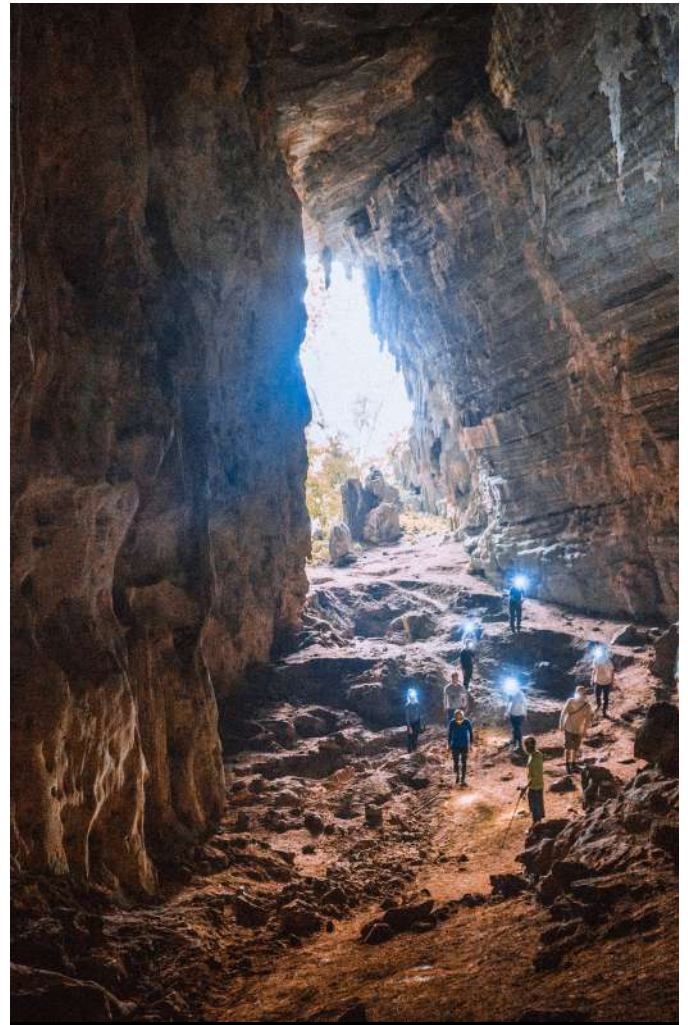
In interest rate-sensitive sectors, inflationary pressures are easing globally, and growth is slowing. This creates a supportive environment for longer-duration government bonds, which also continue to serve as an effective portfolio hedge against potential equity volatility or macroeconomic shocks.

Valuations are now more attractive, following the sharp repricing over the past two years, and term premia have begun to rebuild, particularly in the US and Australia. Regionally, we hold a slightly higher duration exposure in US and Australian government bonds, as central banks near a clearer policy pivot and real yields remain attractive.

Floating Rate

We are **reducing our exposure** to floating rate instruments, particularly in high yield credit and bank hybrids. Bank hybrids, despite their yield premium, face growing scrutiny around capital structure complexity and regulatory headwinds, making them less attractive on a risk-adjusted basis.

We are modestly increasing our allocation to investment grade credit, focusing on issuers with robust balance sheets, stable cash flows, and strong refinancing profiles. Investment grade spreads remain relatively elevated, offering an appealing entry point, particularly in the context of declining rate volatility. This allocation also complements our overweight duration stance, providing diversification and improved portfolio resilience.





Currency



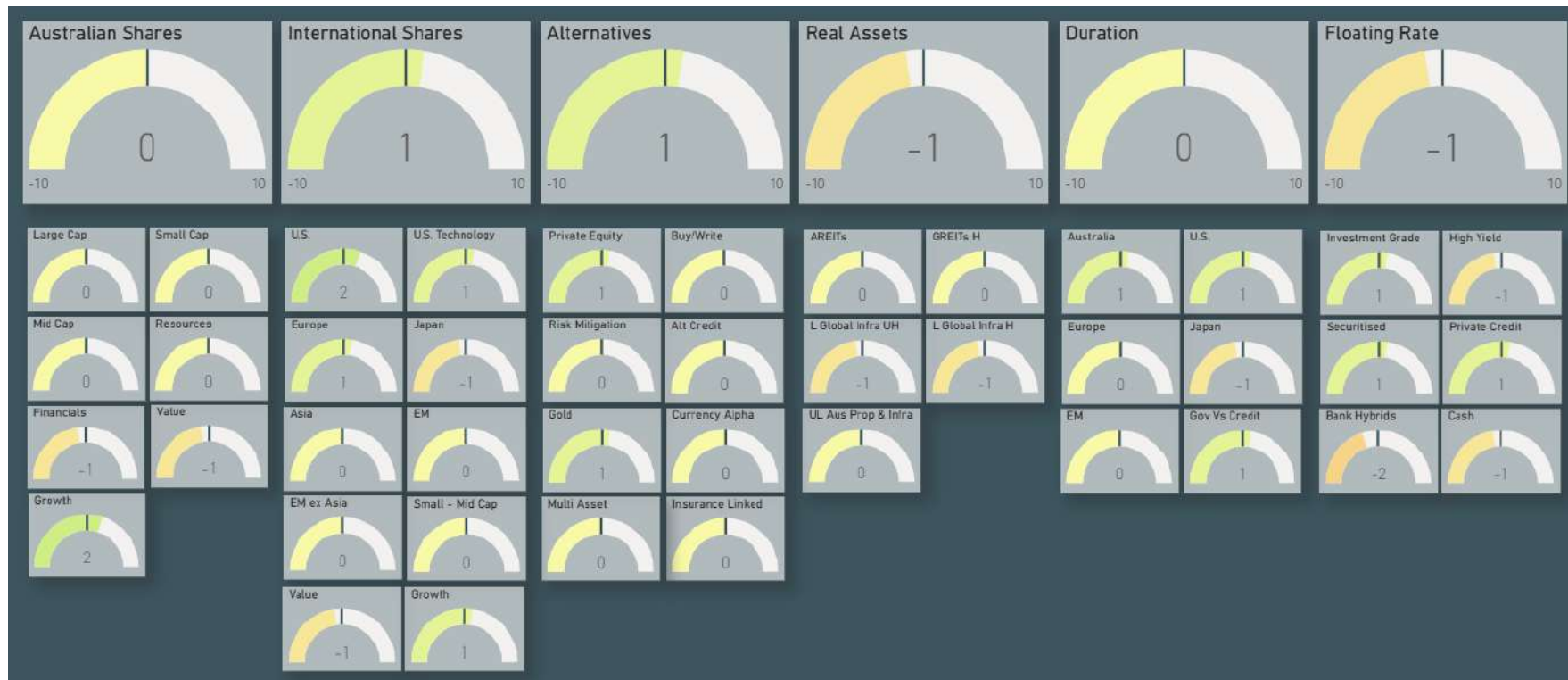
We maintain a **neutral position** on currency, based on a measured view of relative growth, interest rate differentials, and risk sentiment across major economies.

While the US dollar continues to be underpinned by resilient growth and still-attractive real yields, much of its strength is already reflected in positioning. Given the absence of a strong directional conviction, we prefer to take currency exposure passively and allow our underlying asset class decisions to drive portfolio outcomes.

Table 1:

Summary TAA positions – Q3 2025

12 Month Relative Value Summary - Q3 2025



12 Month Relative Summary (Q3 2025). Refer to **Table 1 for Summary TAA positions – Q3 2025**. The recommendations shown in the summary are Atchison's conviction away from the SAA, therefore should not be interpreted as a recommended percentage change.

Important information

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